

**Time:** 5 minutes**Outcome:** Identify how protection or a contract can change behavior after an agreement.**Difficulty:** ●●○ Intermediate

Moral Hazard

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THE CORE IDEA

Moral hazard occurs when protection from some consequences changes a person's actions after an agreement, while those actions are difficult for the other party to observe or control. The protection changes incentives rather than merely revealing a preexisting type.

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HOW TO RECOGNIZE IT

- Coverage, a guarantee, or another agreement is already in place.
- Behavior changes afterward because the person bears less of the consequence.
- The relevant action or precaution is imperfectly observed or controlled.
- Insurance, lending, employment, and guarantees can create this incentive.

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WATCH OUT

Moral hazard is not simply bad behavior. Protection must change incentives after agreement. Hidden characteristics that exist before agreement instead point to adverse selection.

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WORKED EXAMPLE: PRECAUTION AFTER COVERAGE

DIAGNOSE

- after agreement
- hidden action
- protection
- reduced precaution
- changed incentives

A driver obtains collision insurance with a very low deductible. Coverage comes first. Because the insurer now pays most damage costs, the driver bears less of the financial consequence and becomes less careful about where the car is parked. That reduced incentive for precaution can raise expected losses. The mechanism is moral hazard because behavior changes after protection, not because the driver's type was hidden beforehand.

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CHECK YOURSELF

After receiving a loan guarantee, a borrower chooses a riskier project. Does that change illustrate moral hazard?

**READY?****Return to the game and master this concept.**